

GROUP RESEARCH · MACRO & POLICY

KSA Pharma + Health Macro & Policy Outlook H1 2026

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Prepared by Mizan Office of Strategy + Group Research for use within Mizan Group strategic planning. Sourced from public-domain statistics, sell-side and industry research, and Mizan internal proprietary data. Not for redistribution.

A pharma economy at peak deployment

Saudi non-oil real GDP grew 4.8% in 2025 and the health sector specifically — sized at SAR 47B for the pharma market alone — is growing materially faster, driven by mandatory insurance expansion, demographic ageing, and the Vision 2030 Health Sector Transformation Programme. Pharma is the part of the Saudi economy that has structurally decoupled from barrel-of-the-day arithmetic.

Health expenditure as a percentage of GDP is rising from 5.6% (2023) to a 2030 target of 7%+. The NUPCO unified procurement model — single-buyer for public-sector pharma — anchors ~SAR 11.5B of annual demand. The SFDA Tatmeen track-and-trace mandate (full enforcement Q4-2026) reshapes the operating standards for every pharma operator in the country.

NPHIES e-prescription adoption has lifted from 28% in 2024 to 68% in 2026 and is targeted at 85% by 2028. Pharmacist Saudisation is on a binding 2028 target of 65%. Both are operating constraints that affect every BU in the Mizan portfolio.

NON-OIL GDP 2026F

+5.4%

GASTAT national accounts

PHARMA MARKET 2026F

SAR 47B

+12% YOY

NPHIES E-RX SHARE

68%

from 12% in 2023

PHARMACIST SAUDISATION

55%

target 65% by 2028

What could break the outlook

API supply concentration on India + China

74% of Mizan's top-50 APIs are sourced from India or China. Trade-flow disruption, FX shocks (INR/CNY), or regulatory action would compress manufacturing margin within 60-90 days. Sector-wide vulnerability.

EUR + CHF appreciation against the pegged SAR

EUR has risen from 4.06 to 4.21 SAR. CHF (Roche, Novartis) has appreciated even more sharply. Hedging discipline is the operating control.

Nitaqat pharmacist Saudisation tightening (draft, March 2026)

Higher Saudisation tier thresholds proposed for pharmacy dispensing roles; full enforcement Q4-2026. Pre-emptive hiring is the only buffer.

SFDA Tatmeen enforcement window (Q4-2026)

Mandatory drug serialisation and track-and-trace. Suppliers not Tatmeen-compliant cannot ship into KSA. Audit-risk for late-integrating peers is real.

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What this means for our portfolio

Mizan's vertically-integrated pharma platform is positioned at the sweet spot of policy tailwind. The eight BUs together touch every Saudi resident's prescription pathway.

Pharmacist Saudisation pre-emptive hiring (~280 conversions) is funded in the plan and in-flight via Mizan Pharmacy Retail.

Tatmeen Q4-2026 enforcement is the kind of regulatory event where Mizan's sovereign data spine and tight SAP integration become a structural advantage.

FX risk on EUR + CHF imports is the controllable; tighter Treasury/AP integration is the action.